Dr. **Revaluation account** **Cr.**

Particulars	₹	₹	Particulars	₹
To Stock A/c		3,000	By Premises A/c	40,000
To Machinery A/c		6,500		
To Outstanding liability A/c		500		
To Profit on revaluation transferred to				
Ramya's capital A/c (5/10)	15,000			
Sara's capital A/c (3/10)	9,000			
Thara's capital A/c (2/10)	6,000	**30,000**		
		40,000		40,000



Student activity 6.2

Write any four transactions that may increase the profit on revaluation .

Illustration 5

Prabu, Ragu and Siva are partners sharing profits and losses in the ratio of 3:2:1. Prabu retires from partnership on 1st April 2017. The following adjustments are to be made:

(i) Increase the value of building by ₹ 12,000

(ii) Reduce the value of furniture by ₹ 8,500

(iii) A provision would also be made for outstanding salary for ₹ 6,500.

Give journal entries and prepare revaluation account.

Journal entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
2017 April 1	Building A/c Dr.		12,000	
	To Revaluation A/c			12,000
	(Increase in the value of building accounted)			
,,	Revaluation A/c Dr.		15,000	
	To Furniture A/c			8,500
	To Outstanding salary A/c			6,500
	(Reduction in the value of furniture and outstanding salary accounted)			
,,	Prabu's capital A/c Dr.		1,500	
	Ragu's capital A/c Dr.		1,000	
	Siva's capital A/c Dr.		500	
	To Revaluation A/c			3,000
	(Loss on revaluation transferred to capital accounts)			

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